Eli Lilly and Company (LLY)

Incretin franchise still under-appreciated; reiterate Buy ahead of Q1

Rating	**Buy**
Price target (12-month)	**$890**
Price (April 1, 2026 close)	**$739.77**
Implied return	**20%**
Market cap	**$666 billion**
Analyst	**Marc Dubois, CFA**

Key points

• Ahead of Q1 2026 results on April 27, 2026, we model revenue of $12.9 billion and EPS of $2.78, slightly above consensus.

• Capacity additions in Concord and Lebanon lift injectable supply by roughly 60% exiting 2026, which we see as the key unlock for international launches.

• We note the Prescription Drug Affordability Act of 2026 (federal price negotiation extended to the commercial market) as the main policy overhang; our model assumes a 4% net price headwind from 2028.

Our view

We remain constructive on Lilly. Cardiometabolic Health grew 35% year over year on volume growth of the incretin portfolio in the US and new international launches, and we see several more quarters of above-consensus growth. The market, in our view, is underestimating the durability of this cycle.

Management's commentary was more cautious than the headline numbers suggest. We adjust our estimates modestly: see the table below. Our rating is relative to our Pharmaceuticals coverage and our price target horizon is 12-month.

This note was published before Q1 2026 results; we will revisit estimates and our price target after the print.

Estimates

	2024A	2025A	2026E
Revenue ($bn)	39.5	51.5	60.7
EPS (GAAP)	$13.10	$17.17	$18.95
P/E at current price	56.5x	43.1x	39.0x
Dividend per share	$6.00	$6.00	$6.00

EPS in this table is on a GAAP basis; the company reports a Non-GAAP figure as its headline. Fiscal years are the company's.

Valuation

Our $890 price target is based on 46x our 2026 EPS estimate, a premium to the stock's three-year average multiple, cross-checked with a DCF (WACC 7.8%, terminal growth 2.7%).

Risks to our view

• Supply constraints persist longer than we model

• Competitive oral GLP-1 launches compress price

• Drug-pricing legislation extends to the commercial market

Important disclosures

Analyst certification: I, Marc Dubois, certify that the views expressed in this report accurately reflect my personal views about the subject securities and that no part of my compensation was, is or will be directly or indirectly related to the specific recommendations or views in this report.

Rating definitions: Calder & Rowe uses a 3-point scale: Buy, Hold, Sell. Ratings reflect expected total return relative to the analyst's coverage universe over a 12-month horizon. Calder & Rowe ratings are not directly comparable with those of other firms.

Rating category	Count	% of coverage	% investment banking clients
Buy	37	36%	20%
Hold	21	20%	30%
Sell	45	44%	40%

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